

Price of Atchison General 4s and Adjustment 4s at Various Dates

Date	Price of General 4s	Price of Adjustment 4s	Spread
Jan. 2, 1913	97 ¹ / ₂	88	9 ¹ / ₂
Jan. 5, 1917	95 ¹ / ₂	86 ³ / ₄	8 ³ / ₄
May 21, 1920	70 ¹ / ₄	62	8 ¹ / ₄
Aug. 4, 1922	93 ¹ / ₂	84 ¹ / ₂	9
Dec. 4, 1925	89 ¹ / ₄	85 ¹ / ₄	4
Jan. 3, 1930	93 ¹ / ₄	93	¹ / ₄
Jan. 7, 1931	98 ¹ / ₂	97	1 ¹ / ₂
June 2, 1932	81	66 ¹ / ₂	14 ¹ / ₂
June 19, 1933	93	88	5
Jan. 9, 1934	94 ¹ / ₄	83	11 ¹ / ₄
Mar. 6, 1936	114 ⁵ / ₈	113 ¹ / ₂	1 ¹ / ₈
Apr. 26, 1937	103 ¹ / ₂	106 ³ / ₄	3 ¹ / ₄
Apr. 14, 1938	99 ¹ / ₄	75 ¹ / ₄	24
Dec. 29, 1939	105 ³ / ₄	85 ¹ / ₄	20 ¹ / ₂

Prior to 1924 the Atchison General 4s sold usually at about 7 to 10 points above the Adjustment 4s and yielded about ¹/₂% less. Since both issues were considered safe without question, it would have been more logical to purchase the junior issue at its 10% lower cost. After 1923 this point of view asserted itself, and the price difference steadily narrowed. During 1930 and part of 1931 the junior issue sold on numerous occasions at practically the same price as the General 4s. This relationship was even more illogical than the unduly wide spread in 1922–1923, since the advantage of the Adjustment 4s in price and yield was too negligible to warrant accepting a junior position, even assuming unquestioned safety for both liens.

Within a very short time this rather obvious truth was brought home strikingly by the widening of the spread to over 14 points during the demoralized bond-market conditions of June 1932. As the record appeared in 1934, it could be inferred that a reasonable differential between the two issues would be about 5 points and that either a substantial widening or a virtual disappearance of the spread would present an opportunity for a desirable exchange of one issue for another. Two such opportunities did in fact appear in 1934 and 1936, as shown in our table.